

Open-Book Exam Master Guide

Concepts + frameworks + quiz patterns + case-study learnings

Built from the MKT-1 Master Notes and Marketing 1: Review / Key Learnings deck

HOW TO USE THIS TOMORROW Start with the Rapid Lookup pages for definitions and frameworks. For a case question, jump to the Case Study Playbook. For a conceptual question, use the detailed concept chapters. The source-complete appendices preserve the supplied notes/deck text so no source detail is intentionally omitted.

EXAM NAVIGATION - FIND IT FAST

If the question asks...

- “Analyze the market / situation” -> Section 3: 5 Cs.
- “Who buys / why / how?” -> Section 4: Consumer Behavior (DMU, DMP, inertia, switching, choice).
- “Create segments / variables” -> Sections 5 & 7: Segmentation + Psychographics.
- “Which segment?” -> Section 6: Targeting.
- “How should we be perceived?” -> Section 8: Positioning.
- “What features / price / trade-offs?” -> Section 9: Conjoint.
- “What should the firm DO?” -> Section 10: 4 Ps.
- “Adoption / new technology” -> Section 11: Diffusion.
- “Value / risk / switching” -> Section 12.
- “Competition / strategic choice” -> Section 13.
- “Which case is similar?” -> Section 14 + 16A Case Memory Hooks.
- “How do I write the answer?” -> Section 16 templates + Section 17 worked end-term playbook.

FAST ANSWER RULE: FACT -> CONCEPT -> SO WHAT -> DECISION. Use frameworks as filing systems, not as definitions to dump.

1. Rapid Exam Lookup

Core strategy flow: 5 C's situation analysis -> STP (Segment, Target, Position) -> 4 P's execution -> Customer Acquisition & Retention -> Profits. The logic is to create value, capture value (especially through pricing), sustain value (retention/loyalty), and deliver value (distribution).

Framework	Use it for	Components / trigger
5 C's	Situation analysis	Customers, Company, Competitors, Collaborators, Context
STP	Strategic choice	Segment -> Target -> Position
4 P's	Tactical execution	Product, Price, Place, Promotion
DMU	Who participates in buying	Initiator, Influencer, Decider, Purchaser, User, Gatekeeper
DMP	How choice unfolds	Need -> Search -> Evaluate -> Choose -> Post-purchase
6 M's	Communication planning	Market, Mission, Message, Media, Money, Measurement
Conjoint	Feature valuation	Part-worths, attribute importance, WTP / share implications
Porter's 5 Forces	Industry structure	Rivalry, entrants, substitutes, buyer power, supplier power
Diffusion	Adoption over time	Innovators -> Early Adopters -> Early Majority -> Late Majority -> Laggards
Orientations	Company philosophy	Production, Product, Selling, Marketing, Societal Marketing

BIG-PICTURE ANSWER STRUCTURE Analyze the market with 5 C's; define segments using meaningful basis variables; select target(s) based on attractiveness and firm fit; position around a differentiated, desirable, deliverable value proposition; execute consistently through the 4 P's; then manage acquisition, retention, and profitability.

2. Marketing Foundations & Orientations

Marketing is an organizational function and a set of processes for identifying and utilizing market opportunities to provide superior benefits and values to customers while achieving organizational objectives.

Orientation	Core belief	Focus / risk
Production	Make it available and affordable; consumers prefer cheap, widely available products.	Efficiency, scale, lowest cost.
Product	Build the best product with superior features and customers will come.	R&D, innovation, quality; risk of marketing myopia.
Selling	Aggressively push and promote to get people to buy.	Sales force, advertising, persuasion; push-driven.
Marketing	Identify customer needs first, then design the offer to satisfy them.	Customer needs, value delivery, outside-in thinking.
Societal Marketing	Deliver customer value in a way that also benefits society.	Long-run consumer and societal welfare.

QUIZ PATTERN Strong sales force + persuasive ads + frequent promotions = Selling.
 Innovative/scientifically superior features = Product. Identify needs then serve = Marketing. Lowest cost + wide availability = Production.

Inbound vs. Outbound

Inbound / Pull	Outbound / Push
Creates and shares valuable content that attracts and engages customers; customers come to you. Examples: blogs, SEO, social media, content marketing, webinars.	Interrupts potential customers with messages. Examples: traditional advertising, cold calls, direct mail, trade-show booths, email blasts.

3. The 5 C's: Situation / Marketing Analysis

C	Questions and content
Customers	Who are they? What do they need? Understand existing usage, existing thinking, buying process, resistance to change, trade-offs, education needs, DMU and DMP.
Company	Skills/competencies, R&D, manufacturing, financial assets, product-company fit; management risk propensity, cohesion, speed, philosophy, long-term objectives.
Competitors	Who competes? Strengths/weaknesses, response, level of competition, entry barriers, switching costs, differentiation possibilities; Porter's 5 Forces.
Collaborators	Channel partners, retailers, suppliers, complementary products, infrastructure, value-chain completion, co-creation, services sought; costs, margins, task allocation, upstream/downstream relationships.
Context	Cultural, technological, legal, regulatory factors; customer knowledge, information flow, logistics, supply vs demand, fashions/trends, substitutes, financial infrastructure; coolhunting / ethnography.

QUIZ PATTERNS Import tariffs, emission regulations, cultural significance of ownership = Context.
 Internal R&D cannot match customer expectations = Company-Customer tension. Centralized

procurement for volume discounts = greater purchasing power.

4. Consumer Behavior

Purchase Decision Process

Need Recognition -> Search for Alternatives -> Evaluation -> Choice -> Post-Purchase.

Decision Making Unit (DMU)

Role	What they do	Example
Initiator	Recognizes need and stimulates search	Child wants a computer for school
Influencer	Provides input but does not make final call	Surgeons report satisfaction with gowns
Decider	Makes final choice	CEO for small business; committee for enterprise
Purchaser	Consummates transaction	Procurement / purchasing department
User	Actually uses product	Surgeons wearing gowns
Gatekeeper	Controls flow of information	Executive assistant managing information flow to CIO

Needs, Satisfaction, and Choice Models

- Maslow: Physiological -> Safety & Security -> Social/Belonging -> Esteem/Ego -> Self-Actualization. Luxury goods as a status symbol map to Esteem/Ego needs.
- Herzberg: satisfiers delight and drive preference; dissatisfiers are hygiene factors whose absence causes switching/exit.
- Satisfaction = performance vs expectations: Performance > Expectations -> Delight; = -> Satisfied; < -> Dissatisfied.
- Compensatory model: trade-offs allowed; weakness on one attribute can be offset by strength on another; weighted scoring.
- Non-compensatory: Conjunctive = minimum cutoff on all attributes; Disjunctive = one standout feature; Lexicographic = decide on most important attribute, use next as tiebreaker.
- Post-purchase: cognitive dissonance / buyer's remorse -> retention efforts -> advocacy. Sheena Iyengar's "Dark Side of Choice": too many options can paralyze decisions.

Deep Consumer Analysis Checklist

- Define the market: What consumer problem is being solved? What goals are consumers trying to attain? What latent or manifest needs are being filled?
- DMU: Who uses, purchases, approves, chooses, influences, pays, and evaluates outcomes?
- Use frequency: heavy vs light users.
- DMP type: utilitarian, low involvement, ego-expressive, hedonic. Sequence: trigger, information search, alternatives, criteria, evaluation, feedback from experience, re-evaluation triggers.
- Ongoing relationship: what goes wrong, positive surprises, and relationship analogy (partnership, master/slave, best friend, casual acquaintance, true love, dependency, transitory passion).
- Brand relationship quality: love, commitment, trust, interdependence, intimacy, attachment.

- Market diffusion: what consumers did before the product, what may make it obsolete, product and consumer characteristics that facilitate adoption, early adopters and laggards.
- Choice attributes: how consumers judge similarity/difference, determinant attributes, relative importance.
- Buying situation: why non-buyers do not buy, what keeps needs latent or low priority.
- Usage: how much/how often/when/where/with whom; what increases usage; salient aspects; success/failure attribution; storage, transit, application/dispensing, accompanying services.
- Segmentation from behavior: benefits, usage frequency, relationship strength/type.
- Relationship effects: recommendation, extension trial, resistance to competition, expected persistence, consideration set size, price premium.

5. Segmentation

Segmentation divides the total market into distinct groups that share similar needs/characteristics and may require separate products or marketing mixes.

Base	Variables	Example / cue
Demographic	Age, gender, income, occupation, education, family size	18-25 working professionals
Geographic	Region, city size, climate, urban/rural	Smaller cans for rural markets
Psychographic	Lifestyle, values, attitudes, personality	Health-conscious consumers -> Diet Coke
Behavioral	Usage rate, loyalty, benefits sought, occasion	Competitive marathon runners; benefits sought + usage intensity

Segmentation spectrum: Mass Market -> Market Segments -> Market Niches -> Individuals, moving from less customization to more customization.

BASIS VS DESCRIPTOR Basis variables (needs, attitudes, perceptions) are used to create segments, often via cluster analysis. Descriptor variables (demographics, usage) profile the segments after they are formed.

6. Targeting

- Target selection criteria: firm's comparative strengths vs competition; fit with corporate goals; resources available; financial returns; segment size and growth; suitable collaborators.

Approach	Meaning
Undifferentiated	One offer for entire market; mass marketing.
Differentiated	Different offers for different segments. Premium positioning + exclusive channels is a differentiated targeting cue.
Concentrated / Niche	Focus deeply on one or a few segments.

7. Measuring Psychographic Variables & Research

Construct	Meaning / measurement
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Needs	Importance rating (1-5) or choice-based conjoint to infer importance from forced choices.
Attitude	Predisposition to respond. Tri-component: Cognitive (think/beliefs), Affective (feel/emotions), Conative (act/intention).
Perception	How consumers select, organize and interpret stimuli; semantic differential with bipolar adjective scales.
Behavior	Brand recall (top-of-mind) vs recognition; trial, repeat, loyalty. User states: Unaware -> Aware -> Tried -> Repeated -> Loyal/Switcher -> Light/Regular/Heavy user.

Scales and U&A Study Sequence

- Likert scale: typically 1 = Strongly Disagree, 2 = Disagree, 3 = Neutral, 4 = Agree, 5 = Strongly Agree; used for attitude statements.
- Semantic differential: bipolar adjective pairs such as Serious-Fun, Expensive-Affordable, Traditional-Modern; useful for brand imagery and perceptual mapping.

Sequence	What is measured	Role
1. Usership	Status, volume, frequency	Profiling
2. Category needs & attitude	Importance ratings, beliefs (Likert)	Segmenting
3. Brand attitude & usage	Ever used, frequency, loyalty, intention	Segmenting + profiling
4. Brand perception / imagery	Non-comparative rating (Likert, semantic differential)	Segmenting
5. Demographics	Gender, age, location	Profiling

Beliefs at Three Levels

- General belief: "Higher price = better quality."
- Category belief: "Creamy soaps = good for dry skin."
- Brand belief: "Dove = soft skin."
- Cultural beliefs can lower perceived value even when a product is scientifically superior; beliefs shape perception regardless of objective product quality.

8. Positioning

Positioning is the process by which a company creates a distinct image and identity in consumers' minds. The central psychological variable is perception.

POSITIONING STATEMENT For [target], [brand] is the [category] that is the [point of difference] so they can [end benefit] because [reason to believe]. The review deck also frames it as: For [target market], Brand X is the only brand among [competitive set] that [unique value claim] because [reasons to believe].

- Steps: (1) list competition set, (2) assess competitors' positioning, (3) assess current positioning, (4) define target needs and generate dimensions, (5) plot perceptual maps and find white spaces, (6) map differentiators to features / reason to believe, (7) develop positioning concepts, (8) concept-test and finalize.
- Perceptual maps show how consumers perceive brands on key dimensions. A differentiation opportunity is a desirable white space.

- USP = consumer-facing expression of positioning explaining why the customer should buy this brand rather than competitors.
- Stimulus generalization: consumers transfer perceptions across contexts. Example in notes: Colgate Beef Lasagna failed because toothpaste brand perception clashed with food.
- Value proposition tests from the deck: differentiated (overall profitability), differentiable, desirable, deliverable.
- Positioning is a feeling and is relative to competition; products can be the same while positioning differs.

9. Conjoint Analysis

Conjoint analysis determines how consumers value product attributes by inferring importance from forced choices among product profiles rather than asking directly. Products are defined by attributes and levels; part-worth utilities estimate the value contributed by each level. Higher utility means stronger preference; utilities sum to zero within each attribute in the supplied notes.

Attribute / level	Segment X	Segment Y
Price 60	2.5	1.5
Price 80	1	1
Price 100	-2.0	-1.5
Packaging: Glass	1.4	0.5
Packaging: Refill pouch	-1.4	1

HOW TO READ Price sensitivity: compare the range of price utilities. Segment X range = $2.5 - (-2.0) = 4.5$; Segment Y = $1.5 - (-1.5) = 3.0$; larger range means price matters more, so X is more price-sensitive. Packaging: X prefers Glass; Y prefers Refill Pouch.

10. Marketing Mix: 4 P's

Product

- Total package of benefits: brand, reputation, support, financing, packaging.
- Product line width = number of product lines. Product line length/depth = items within a line.
- Watch cannibalization risk and the new-product-development cycle.

Price

- Skimming: high initial price -> capture early adopters / less price-sensitive customers; revenue focus.
- Penetration: low price -> grab market share.
- Dynamic pricing: varies by time, demand, customer; airlines/yield management. Booking time + passenger history is a dynamic-pricing cue.
- Price customization: different prices for different segments.

Place / Distribution

- Eight channel functions in the notes: information, customization, quality, lot size, assortment, availability, after-sale, logistics.
- Direct vs indirect vs dual distribution.
- Coverage continuum: intensive -> selective -> exclusive.
- Manage channel conflict through goal congruence.

Promotion: 6 M's

M	Question
Market	To whom?
Mission	Objective?
Message	What to say?
Media	Which channels?
Money	Budget?
Measurement	How to assess?

Push = trade-focused; Pull = consumer-demand-driven.

11. Diffusion of Innovation

Category	Share	Traits	Trigger
Innovators	2.5%	Risk-tolerant, tech enthusiasts, venturesome	Novelty, being first
Early Adopters	13.5%	Opinion leaders, visionary, respected	Strategic advantage, status
Early Majority	34%	Deliberate, pragmatic	Proven track record, social proof
Late Majority	34%	Skeptical, risk-averse	Peer pressure, necessity, strong social proof
Laggards	16%	Traditional, resistant to change	No other option / mandatory adoption

CASE CUES Paytm: saying early adopters started only after demonetization is incorrect; early adopters adopt before mainstream events force adoption, while demonetization drove the majority. Solar Glide: tech enthusiasts are innovators/early adopters, not laggards.

12. Consumer Perceived Risk & Value

Risk	Fear	Example
Physical	Product may physically harm me	Skin reaction from unbranded cosmetic
Functional	Product will not perform as expected	Laptop too slow for video editing
Financial	Not worth money spent	Expensive gadget breaks quickly

Social	Others judge me negatively	Uncool brand at a party
Psychological	Product conflicts with self-image	Luxury buyer feels guilt about excess
Time	Time wasted if product fails	Long installation that does not work

Perceived Value = Benefits - Costs.

- Benefits: Functional (performance/features); Image/Emotional (feeling, status, prestige). Apple premium in the notes is attributed to both image and functional benefits: design/prestige + seamless ecosystem.
- Costs: Monetary price; Effort/Time for search, learning, setup; Switching costs from moving away from the current product. Windows users resisting iOS despite discounts is framed as higher effort/switching cost.
- Commoditization: when products look the same, differentiation is the answer; convince consumers the product is different, not merely as good.
- Review deck expands customer value into Functional, Economic, Social, and Experiential value.

13. Competitive Strategy & Demand

Porter's Generic Strategies

Strategy	Logic / risk
Cost Leadership	Lowest-cost producer -> compete on price. Risk: price wars and thin margins.
Differentiation	Unique product/service -> premium pricing. Artisan coffee shop vs Starbucks example.
Focus / Niche	Serve a narrow segment exceptionally well.

Demand Types

Type	Definition	Example
Negative	Consumers actively dislike product	Vaccinations for some people
Non-existent	Consumers unaware or uninterested	Insurance to young adults
Latent	Need exists but no product satisfies it yet	Pre-smartphone wish to browse web on phone
Declining	Demand falls over time	CDs, print newspapers
Full	Demand equals supply / optimal	Popular staple brand
Overfull	More demand than can be served	Limited-edition drops, concert tickets

AURA EON CUE Many admire the car but few can afford it: the brand is wanted by many, but effective demand is limited to those who can pay. An affordable version addresses the gap between aspiration and purchase ability.

14. Case Study Playbook

Use this section to connect case facts to the course frameworks. The case deck repeatedly asks you to identify context, B2B/B2C, product/service, value horizon, cognitive/affective proposition, target profile, segmentation variables, point of difference, and managerial concepts.

Case	Context / value	Target	Segmentation	POD	Managerial learnings
NTT DoCoMo / iMode	B2C; product; lifetime value; more affective than cognitive	Trendy teens / people in twenties	Demographic + behavioral	Match customer need; innovative positioning	New technology adoption; positioning; uncertainty; integrated strategy; innovative business model; outsource risk; loyalty; context shaped product/technology, pricing and positioning; customers want familiar + different and resist change.
A-One Starch (B)	B2B; product + service; long-term entrepreneurial perspective; cognitive	Pharmaceuticals & confectionery	Behavioral	Service	On-time communication and delivery; forecasting demand; value differs by segment; demand estimation depends on industry capacity/production and own marketing actions; high capacity utilization suggests selling power; use trends and seasonality.
Kimura K.K.	B2B; product + service; lifetime; cognitive	DVD producers	Behavioral	Best product in category	B2B buy center: each person has different requirements; attend to all DMU members; choose customers the company can serve; professionalism/accountability; marketing encompasses the entire business.
Aqualisa / Quartz	B2C; product + service; lifetime; both cognitive and affective	Premium households	Psychographic	Technologically superior product	Integrated marketing plan; strategic vision; product attributes; customer behavior; channel dynamics; steady innovation; tactical vs strategic; value vs perceived value; plumbers as primary consumers / influencers; inertia.
Trader Joe's	B2C; product + service; returning customer; experiential / both	"Over-educated, under-paid" people	Profile	Value chain; integrated self-reinforcing business model	Competitor is whoever the customer compares you with; employee/target fit creates connection; trade-offs mean choosing what not to do; competitive advantage through business model, culture and values.
Omnitel	B2C; product; lifetime; both	Individuals for everyday use	Psychographic	Customer data; position as impulse product	Conjoint analysis; competition analysis; company buying; market-driven value creation; quantitative targeting; differentiated positioning can avoid price wars; follower-created market may still benefit leader due to brand trust.
Evoo Springs Spa	B2C; service; one-time; affective	HNI	Psychographic	Positioning on health	Laddering interviews; focus groups; positioning; segmentation need not be demographic; benefits/psychographics/lifestyle/behavior matter; positioning is a feeling relative to competition; reduce pain points and provide benefits.
Scorpio	B2C; product; lifetime; both	Young, aspirational, modern	Profile + psychographic	Jeep-like looking big car	Brand Prism; positioning decision; identify gaps; operationalize position through critical decisions; recreate segments in consumer language; repositioning strategy.
HubSpot	Both B2B/B2C in deck; service; lifetime; cognitive	Small entrepreneurs, marketing managers	Profile	Inbound methods; pricing	Marketing opportunity; product creation; CLV and pricing; inbound/outbound and customer funnels; choosing segments.
Spotify	B2C service; lifetime; affective	Multi-sided market: artists, record labels, listeners	Behavioral + profile	Platform; network effects; paid subscribers	Digital distribution; segmentation opportunities; power of artists; pricing options; two-sided/multi-sided business model; value on each side; network effects; CLV/CAC; logic by logic, emotions by emotions.

15. Cross-Case Learnings

- Consistency matters: actions in different parts of the marketing framework must reinforce one another.
- Customer behavior often includes inertia, reference points, comparison, and switching costs. Benefits arise from sets of attributes, not isolated features.

- B2B marketing requires managing the full DMU / buy center rather than focusing only on the nominal buyer.
- Value and perceived value are different. Superior technology alone does not guarantee adoption if customers, channels, or influencers do not perceive the value.
- Trade-offs are central to competitive strategy; a coherent, self-reinforcing activity system can be harder to imitate than a single feature.
- Segmentation can use demographics, behavior, psychographics, lifestyle, benefits, profile variables, usage frequency, and relationship strength.
- Positioning must be relative to a competitive set and translated into operational decisions across the marketing mix.
- Platforms require value creation for each side, network effects, pricing choices, and attention to CLV/CAC.

16. Exam Answer Templates

A. “Analyze this case”

- 5 C’s: state the key customer, company, competitor, collaborator and context facts.
- Consumer behavior: DMU, DMP, inertia/switching cost, attribute trade-offs, cognitive vs affective drivers.
- STP: segmentation basis -> target selection rationale -> positioning / POD / RTB.
- 4 P’s: show how product, price, place and promotion reinforce the positioning.
- Acquisition/retention/profit: identify lifetime value, loyalty, CAC/CLV where relevant.
- Close by checking consistency and trade-offs across the system.

B. “Recommend positioning”

- Define target and competitive set.
- State unmet/desirable need or white space.
- Choose differentiable and deliverable POD.
- Write positioning statement with end benefit + reason to believe.
- Operationalize through product, price, channels, and promotion.
- Check perceived value and channel/customer adoption barriers.

C. “Interpret conjoint”

- For attribute importance, compute utility range within each attribute; larger range = greater importance.
- For preferred level, choose the highest part-worth within that attribute for that segment.
- Compare segments to infer sensitivity and tailor product/price/packaging accordingly.

16A. HIGH-YIELD ADDITIONS & CASE CONNECTIONS

Use this page when you remember the framework but need the missing “so what?” or a case connection quickly.

AIDA & Funnel

- Attention -> Interest -> Desire -> Action. Use when a question is about moving customers from awareness to purchase, communication sequencing, or funnel leakage.

Brand Relationship Quality

- Assess Love, Commitment, Trust, Interdependence, Intimacy and Attachment. Outcomes: recommendation, extension trial, resistance to competition, relationship persistence, smaller consideration set and possible price premium.

Business Models / Digital

- Two-/multi-sided platforms must create value for each customer side and manage network effects. Spotify: artists/labels/listeners; platform value rises as participation on the other side grows. HubSpot: inbound marketing, segment choice, pricing, CLV and CAC.
- CLV/CAC rule: sustainable acquisition requires lifetime value to exceed acquisition cost. Use the concept when the case asks about acquisition, retention, pricing, or customer economics; do not invent numbers if none are provided.

Brand Prism

- Physique, Personality, Culture, Relationship, Reflection, Self-image. Scorpio used the Brand Prism to identify identity gaps and operationalize repositioning around a young, aspirational, modern consumer and a Jeep-like big-car cue.

Positioning Quality Check

- Test a proposed position for Differentiation/overall profitability, Differentiability, Desirability and Deliverability. Then force it into execution: Product + Price + Place + Promotion must reinforce the same promise.

CASE MEMORY HOOKS

- iMode = adoption + uncertainty + “familiar AND different” + switching costs + integrated strategy.
- A-One Starch = segment-specific B2B value + service reliability + demand forecasting/capacity.
- Kimura = full DMU/buy-center + choose customers you can actually serve.
- Aqualisa = superior product can fail when perceived value/channel adoption is weak; plumbers matter.
- Trader Joe's = trade-offs + choose what NOT to do + self-reinforcing activity system.
- Omnitel = conjoint + data-driven segments + differentiated positioning to avoid price war.
- Evoo = psychographic/benefit segmentation + laddering/FGD + positioning as a feeling.
- Scorpio = Brand Prism + consumer-language segments + repositioning.
- HubSpot = inbound + CLV/CAC + pricing; Spotify = multi-sided platform + network effects.

17. CASE-BASED END-TERM PLAYBOOK

How to attack a full marketing case under exam conditions - worked using the 2025 ITC Mangaldeep end-term case.

Use this section as an answer-construction guide. It is deliberately organized question-by-question: what the examiner is testing, what to extract from the case, which framework to use, how to reason, and what a strong 200-350 word answer should actually contain.

A. First 12-15 Minutes: How to Read Any Marketing Case

Pass	What to do	What to mark
1. Read questions first	Identify the output demanded by each question before reading the case.	Framework words: 5Cs, segmentation variables, target selection, positioning, marketing mix, value, channel, pricing.
2. Read for decision facts	Read the case once for the decision problem, not for chronology.	Objective, constraint, market structure, customer behavior, company assets, competition, channel, context.
3. Build a fact bank	Put each useful fact under a framework heading.	Do not retell the case. Every fact should support a diagnosis or recommendation.
4. Quantify	Circle market share, segment size, price, growth, contribution and usage numbers.	Numbers make targeting and prioritization defensible.
5. Answer the exact verb	Explain = causal logic; identify = classify; recommend = choose + justify; position = target + frame + POD + RTB.	End each answer with an implication or decision.

The universal answer spine

- Start with a one-sentence answer/thesis. Do not make the reader wait for your conclusion.
- Apply the named framework in headings or a compact table.
- For each point: Case fact -> Marketing concept -> Implication.
- Use exhibits quantitatively where possible; do not merely mention them.
- Finish with a synthesis: therefore, what should the firm do?

EXAM FORMULA: FACT -> CONCEPT -> SO WHAT -> DECISION

B. Case Snapshot: ITC Mangaldeep - What You Should Have on Your Rough Sheet

Decision problem: Mangaldeep wants to restructure its incense-stick portfolio for growth. The case moves from a largely price-based portfolio toward consumer segmentation based on motivations, attitudes, ritual behavior and expression of devotion. The exam asks you to move through the strategy sequence: 5Cs -> segmentation -> targeting -> positioning.

Case fact	Why it matters in the answer
Indian incense market is fragmented; north and south together contribute about 55% of the market, with west/east about 45%.	Context/geography; also indicates scale and heterogeneity.
Industry has economy, popular and premium price categories; competition is intense and largely price-driven.	Competitors + context; danger of undifferentiated price competition.

ITC entered incense in 2003 and used its distribution strength; Mangaldeep reached about 10% market share in 2017-18.	Company strength and evidence of scale, but also a growth challenge.
Mangaldeep historically offered basic/economy, popular and premium ranges; popular range contributed the largest share of its portfolio.	Existing product architecture and price-based segmentation.
Growth accelerated earlier but slowed later; the firm wanted to double revenue over three years and become a top devotional brand.	Corporate objective - crucial for target attractiveness.
U&A research found meaningful differences in motivations and attitudes toward prayer/incense, not just price sensitivity.	Justifies moving to needs/psychographic/behavioral segmentation.
Five segments: Saviour 35%, Purist 12%, Rationalist 28%, Transactional 18%, Image Conscious 7%.	Quantitative base for target selection.
Consumers generally sought good-quality branded incense; many were price-sensitive within segments, but benefits and devotional motivations differed.	Position on benefit/value, not only price.

C. Question 1 - 5Cs: How Does Mangaldeep Define Its Market and Current Marketing Objective?

Question demand: "Using the 5 Cs framework, explain how ITC Mangaldeep defines its market in India and its current marketing objective." This is a situation-analysis question. Do not spend 200 words defining the 5Cs; apply them.

1. What the examiner is testing

- Can you distinguish Customer, Company, Competitors, Collaborators and Context?
- Can you connect the five observations into a coherent market definition?
- Can you state the objective separately from the diagnosis?

2. Build the answer in this order

5C	Case evidence to use	Interpretation / what to write
Customers	Incense users use the category for prayer/puja and emotional/devotional outcomes; U&A reveals five motivation/behavior segments.	Define the market by the customer problem: facilitating prayer/devotion and desired emotional outcomes, not merely "people who buy agarbatti."
Company	ITC has a large FMCG system, established Mangaldeep portfolio, wide retail reach and distribution strength; Mangaldeep had ~10% share.	Capability to serve a national mass market and manage a portfolio, but growth has slowed and the portfolio needs sharper consumer alignment.
Competitors	Fragmented category with many regional/small players plus organized brands; rivalry often price-driven.	Mangaldeep must avoid competing only on price and create consumer-relevant differentiation.
Collaborators	Small/cottage manufacturers, suppliers and ITC distribution/retail network are central to manufacturing and market access.	The business model depends on partner production plus ITC route-to-market capability.
Context	Large incense market; regional variation; devotional/cultural practices; economy/popular/premium price bands; consumer attitudes are evolving.	Cultural context and heterogeneity make one-size-fits-all positioning weak; segmentation is strategically useful.

3. The synthesis sentence that earns marks

Mangaldeep should define the market as the market for branded incense solutions that help heterogeneous Indian consumers perform and express devotion, with needs varying by motivation, ritual orientation and desired emotional outcome. Its immediate objective is growth through a consumer-led portfolio: double revenue over three years, become a leading devotional brand, and make Mangaldeep the most-loved incense brand by shifting from mainly price-led differentiation to sharper segment-based value propositions.

4. Suggested 200-word answer architecture

- Opening (20-30 words): define the market and state the objective.
- Body (140-150 words): one tight sentence/mini-paragraph per C. Use at least 2-3 case numbers/facts.
- Close (20-30 words): explain why the 5Cs point toward portfolio restructuring around consumer needs.

5. Common mistakes

- Putting price categories under Customers without discussing customer needs.
- Putting ITC distribution under Collaborators only. Distribution capability is also a Company strength; collaborators are the external partners in that system.
- Calling the objective simply "increase market share." The case gives broader growth and brand objectives.
- Writing five isolated bullets without a final market-definition synthesis.

D. Question 2 - Segmentation Variables: What Actually Defines the Five Segments?

Question demand: "What are the variables used to define the customer segments in this market? Are age, gender, occupation or geographic location good criteria for segmentation in this case?" This is a segmentation-basis question, not a request to list demographics.

1. Core answer

The five segments are primarily defined by psychographic and behavioral variables - especially motivation for prayer, emotional need, attitude toward devotion/ritual, prayer behavior, role and expectation from incense, influencer patterns, and purchase behavior. Demographics/geography may describe or profile a segment, but the case does not support them as the primary basis for creating these segments.

2. Variables to explicitly name

Variable family	Case variables	Why useful
Needs / benefits sought	Protection, peace, calm, family well-being, fulfillment of prayer, status/image, pleasing others.	Explains why incense is valued.
Attitudes / beliefs	Belief in rituals, flexibility vs strictness, intrinsic vs extrinsic orientation, attitude to prayer/devotion.	Separates consumers who may look similar demographically but interpret prayer differently.
Behavior	Ritual intensity, number/type of rituals, prayer frequency, process adherence, use of incense, brand/fragrance choice.	Captures what people actually do.
Influence / social context	Family elders, priests, neighbors, traditions and social approval.	Explains decision formation and role of reference groups.
Purchase behavior	Brand preference, quality orientation, variety/fragrance, price sensitivity, willingness to pay.	Links segment psychology to actionable 4P decisions.

3. How to answer the demographics part

Say "not as the primary segmentation basis" rather than "demographics are useless." The research found the segments across consumers with different demographic backgrounds, and the meaningful differences were

in motivations and expressions of devotion. Age, gender, occupation and geography can still be descriptor variables used to profile, size, reach or communicate with a segment after it is formed.

4. Bring in the course distinction: basis vs descriptor

This is exactly where the basis-versus-descriptor distinction is useful. Basis variables create meaningful segments because they explain differences in needs/response; descriptor variables help identify and reach those segments. In this case, needs, attitudes, beliefs and behavior are the stronger basis variables; demographics/geography are mainly descriptors unless further evidence shows they predict segment membership.

5. Suggested 200-word structure

- Sentence 1: classify the segmentation as mainly psychographic + behavioral/benefit based.
- Next 5-6 sentences: name the actual variables and illustrate them with segment differences.
- Next 2-3 sentences: explain why demographics/geography have weak discriminatory power here.
- Final sentence: use demographics only for profiling/reach, not as the core basis.

E. Question 3 - Targeting: Which Segments Should Mangaldeep Target?

Question demand: choose segment(s), reject/deprioritize segment(s), and justify. There is no value in saying "target all five." Targeting requires trade-offs. A strong answer uses a selection criterion, case numbers and company fit.

1. Use a targeting scorecard - do not jump straight to your favorite segment

- Segment size / revenue pool.
- Need intensity and distinctiveness.
- Fit with Mangaldeep capabilities and brand permission.
- Ability to differentiate and build a credible POD.
- Willingness to pay / economics / price sensitivity.
- Reachability and ability to serve through ITC distribution.
- Fit with the growth objective and risk of cannibalization.

2. A defensible prioritization for this case

Segment	Size	Target logic	Exam recommendation
Saviour	35%	Largest segment; devotion is linked to protection/well-being; relatively frequent ritual behavior; strong fit with a trusted devotional brand and broad distribution.	PRIMARY TARGET - scale + clear functional/emotional benefit.
Rationalist	28%	Large segment; seeks a simple, flexible, uncomplicated connection with God and peace/calm rather than elaborate ritual.	PRIMARY TARGET - large, differentiated need state; opportunity to modernize the brand.
Transactional	18%	Meaningful size; prayer is more process/family-order oriented and extrinsically motivated; less engaged but can value convenience, reliability and family acceptance.	SECONDARY / SELECTIVE TARGET - useful volume segment, but proposition must be distinct.
Purist	12%	Strong ritual commitment and authenticity needs, but more rigid/traditional and narrower; may require specialized credibility and ritual cues.	NICHE / DEPRIORITIZE FOR MASS GROWTH - can be served selectively rather than lead the portfolio.
Image Conscious	7%	Smallest segment; extrinsic/status/social-recognition orientation; can value attractive premium cues and variety.	NICHE PREMIUM TEST - not a core growth engine due to size, but potentially useful for a premium sub-brand.

3. The important nuance

The case does not provide complete segment-level profitability, exact willingness-to-pay, acquisition cost or growth-rate data. Therefore, present your selection as a reasoned recommendation using the available evidence, not as a mathematically proven answer. If you choose a different portfolio - for example, Saviour + Rationalist + Image Conscious premium - it can still be strong if the criteria and trade-offs are explicit.

4. A strong 250-word answer flow

- Opening: "I would use differentiated targeting rather than one mass proposition."
- State criteria: size, attractiveness, fit, differentiation, economics, reachability.
- Primary targets: Saviour + Rationalist; use their combined scale (63%) and distinct needs.
- Secondary: Transactional for volume/convenience if the portfolio can support a separate proposition.
- Deprioritize as mass targets: Purist and Image Conscious; explain why, while leaving room for niche SKUs.
- Close: link selection to the objective of doubling revenue without collapsing into price competition.

5. What NOT to write

- "Saviour is biggest, therefore target it" - size alone is insufficient.
- "Image Conscious is small, therefore ignore it" - a small segment can still be profitable; say why it is not a core growth priority with current evidence.
- "Target everyone with different ads" - this ignores portfolio complexity, cannibalization and strategic trade-offs.
- Inventing profitability or WTP numbers not provided by the case.

F. Question 4 - Positioning: Create Relevant Positioning for the Selected Segments

Question demand: create a positioning strategy for each chosen segment. Do not answer with an advertisement tagline only. A positioning answer must contain target, frame of reference/category, point of difference/end benefit and reason to believe (RTB).

1. Use this positioning template

For [TARGET], Mangaldeep [OFFER/SUB-BRAND] is the [FRAME OF REFERENCE] that [POINT OF DIFFERENCE / END BENEFIT] because [REASON TO BELIEVE].

2. Worked positioning directions

Target	Need / insight	Positioning direction	Possible RTB / 4P implication
Saviour	Prayer protects the family and restores security/well-being.	"Dependable protection and positive energy for everyday family prayer."	Trusted branded quality, consistent fragrance/burn, wide availability, value packs; reassuring devotional cues.
Rationalist	Wants a direct, flexible, uncomplicated connection with God and a calm mind.	"A simple, authentic moment of peace - devotion without complexity."	Clean/simple product architecture, calming fragrance, easy choice, contemporary restrained packaging; avoid overloading ritual claims.
Transactional	Prayer is part of keeping family/order and completing expected rituals; convenience and reliability matter.	"The easy, reliable way to complete the family puja properly every day."	Convenient pack sizes, dependable quality, availability, clear usage cues, family-oriented communication.
Purist - niche	Ritual correctness, tradition and	"Authentic incense for rituals	Traditional ingredients/fragrances,

	authenticity are central.	performed the right way."	ritual authenticity cues, endorsement/heritage where credible, specialized assortment.
Image Conscious - niche premium	Prayer also carries social/image and sensory expression; likes variety and attractive offerings.	"A premium devotional experience that looks, feels and smells distinctive."	Premium packaging, sophisticated fragrances, gifting/display formats, higher price points if research validates WTP.

3. Make the positioning "good" using the 4D test

- Differentiated: not another generic "pure fragrance for prayer" promise.
- Differentiable: competitors should not be able to copy the entire promise easily.
- Desirable: anchored in the segment insight from the U&A research.
- Deliverable: supported by product, price, packaging, distribution and communication - not just a slogan.

4. Show that positioning must change the marketing mix

For each chosen segment, add one line translating positioning into execution. Example: if Rationalists are promised uncomplicated peace, a cluttered portfolio with many ritual variants would contradict the position. If Saviours are promised dependable family protection, inconsistent quality or stock-outs would destroy the RTB. Positioning is therefore a coordinating choice across Product, Price, Place and Promotion.

5. Suggested 350-word structure

- Opening (30-40 words): differentiated positioning is needed because segment motivations differ.
- For each chosen segment (70-90 words): insight -> positioning statement -> RTB -> 4P implication.
- Final paragraph (40-60 words): explain portfolio architecture and how to avoid overlap/cannibalization.

G. How the Four Questions Fit Together - Do Not Treat Them as Separate Mini-Essays

Question	Strategic job	Output
Q1 - 5Cs	Diagnose the market and firm situation.	What market are we really in, and what is the objective?
Q2 - Segmentation	Find meaningful heterogeneity.	Which variables explain different needs/responses?
Q3 - Targeting	Choose where to compete.	Which segments deserve resources, and which do not?
Q4 - Positioning	Choose how to win in each target.	What distinct value should each target associate with Mangaldeep, and why believe it?

The examiner is testing one continuous logic: Situation analysis -> meaningful segmentation -> target selection -> differentiated positioning. Your Q4 should be impossible to write well if Q2 and Q3 were weak.

H. 30-Second Checklist Before You Move to the Next Answer

- Did I answer the exact question in the first 1-2 sentences?
- Did I use the named framework correctly rather than merely define it?
- Did I use case facts/numbers as evidence?
- Did I distinguish fact from my recommendation?
- Did every recommendation have a because?
- Did I make a trade-off, especially in targeting?

- Did I connect positioning to an RTB and at least one 4P implication?
- Did I avoid inventing data not present in the case?
- Did I end with a decision/implication rather than a summary of facts?

I. Reusable Templates for Any Case Tomorrow

Template 1 - 5Cs answer

"The market should be defined around [customer problem/need], not merely [product category]. Customers: [need/behavior]. Company: [capability/constraint]. Competitors: [rivalry/substitutes]. Collaborators: [channel/supplier/complementors]. Context: [cultural/tech/legal/economic trend]. Therefore, the key marketing objective is [objective], which requires [strategic implication]."

Template 2 - Segmentation answer

"The strongest segmentation bases are [needs/benefits], [psychographics/attitudes] and [behavior], because they produce materially different responses to the marketing mix. [Demographic/geographic variable] is better used as a descriptor unless the case shows that it predicts needs or response. The segments should be actionable, measurable, substantial and differentiable."

Template 3 - Targeting answer

"I would prioritize [A] and [B], selectively serve [C], and deprioritize [D] as a core target. I evaluate them on segment size/growth, economics, need intensity, company fit, differentiation potential, reachability and strategic fit. [A] is attractive because [evidence]. [D] is lower priority because [trade-off]."

Template 4 - Positioning answer

"For [target], [brand] is the [frame of reference] that [POD/end benefit] because [RTB]. This should be operationalized through [product], [price], [place] and [promotion cue]. The position is desirable, differentiated and deliverable because [case evidence]."

J. Final Exam Rule: Frameworks Are a Filing System, Not the Answer

A high-scoring case answer does not dump every framework you know. Use the minimum framework needed to organize the evidence, then spend most of the answer on case-specific reasoning. The marker should be able to see a chain from evidence to concept to implication to decision.